

IN THE IOWA DISTRICT COURT FOR POLK COUNTY

RICH WIGGINS,	)	LAW NO. LACL 163118
	)	
Plaintiff,	)	AMENDED PETITION
	)	
v.	)	
	)	
STATE OF IOWA,	)	
	)	
Defendant.	)	

COMES NOW the Plaintiff, Rich Wiggins, by counsel, and for his claims against the State of Iowa states as follows:

PARTIES

1. At the time of the events in question, Plaintiff Rich Wiggins (“Wiggins”) was a citizen and resident of West Des Moines, Dallas County, Iowa.
2. At all times material hereto, the State of Iowa was a sovereign state as defined in the Iowa Code with its principal place of business in Des Moines, Polk County, Iowa.

FACTUAL BACKGROUND

3. Wiggins was hired as the Investment Risk and Operations Officer for the Iowa Public Employees’ Retirement System (“IPERS”) in June of 2022. Wiggins replaced Sriram Lakshminarayanan (“Sriram”) in that position as Sriram moved into the role of Chief Investment Officer (“CIO”).
4. The Chief Investment Officer’s duties and obligations include, *inter alia*, disclosing relevant information to the IPERS Investment Board including a truthful and objectively reasonable assessment of risk.

5. Wiggins' duties as the Investment Risk and Operations Officer included, but were not limited to, performing risk management, monitoring the performance of IPERS' approximately \$40 billion-dollar investment portfolio and other operational duties. In that regard, Wiggins was responsible for ensuring that investments and investment policy are reasonably designed to further the purposes of IPERS taking into consideration the risk of loss and the opportunity for gain or income associated with the investment or investment policy.

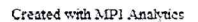
6. One of Wiggins duties as Investment Risk and Operations Manager was to monitor the conduct of Sriram; the CIO. However, Srirma as CIO had the authority to terminate the employment of Wiggins without cause.

7. Wiggins was tasked with ensuring that "IPERS did not become the next Pennsylvania State Employees Retirement System..." In 2021, Pennsylvania's largest pension fund was at the center of a large scandal, complete with an FBI investigation, related to the overstatement of its yearly investment returns. The fund's board admitted that it endorsed an inflated number, a mistake it blamed on a data error. If IPERS overstated a number, Sriram made it clear that Wiggins would be fired, so he began a close review of the calculations.

8. Prior to joining IPERS, Wiggins was the head of risk and strategy for Saudi Aramco, the second largest company in the world.

9. Shortly after being hired, Sriram attempted to move Wiggins to a different role, giving the excuse that "We don't need a risk officer because we don't have any risk." This was a false statement, as IPERS has more private equity, hedge funds, and leveraged products than a typical pension fund. In reality, IPERS has more risk than similar pension funds.

10. A survey by Markov Processes International (MPI) for fiscal year 2024 revealed that of the 30 largest public pension systems, Iowa and Indiana are the most highly leveraged as



IPERS Risk Reporting

13. In the fall of 2022 Wiggins voiced his concerns to Sriram about some of IPERS' investment and bookkeeping practices. Wiggins requested the algorithms and formulas but was told that they were not available. The Illinois vendor refused to provide it and reiterated the

formula came directly from Sriram. The risk measure presented to the IPERS board was far from best practices and presented—at best—a misleading measure of risk that was a proxy for tracking error.

14. Wiggins shared some of the raw numbers with colleagues who are experts in this area. They agreed that IPERS' measure of risk appeared visibly flawed and did not represent a robust measure of actual risk.

15. In October of 2022, Wiggins authored a memorandum suggesting that IPERS bring in an outside consultant to verify these risk calculations.

16. After no response was received from the memorandum, Wiggins regularly informed Sriram that the output of the risk calculations appeared incorrect and that because he was not provided the formulas he could not verify the numbers. Wiggins wrote a memorandum suggesting to Sriram that he bring in an outside consultant to review the books and verify the numbers. The request was ignored.

17. Some of the risky strategies employed by IPERS would lead to the fund doing especially badly in poor market conditions. Sriram regularly told the board that he “built portfolios that performed well in bad markets” but his analysis showed IPERS was buying strategies that can be considered “selling portfolio insurance.”

Artificial Benchmark Rubric

18. Sriram, and CEO Gregory Samorajski, engaged in multiple strategies to make it appear that IPERS funds were doing better than they actually were. They frequently reported the plan to be among the lowest-cost plans but the slides they presented to the Investment Board “Investment Management Expenses FY 2023/December 7, 2023” were misleading. Other plans include underlying private equity manager fees and incentives. They also selected strategies

where the fees were buried in the transactional costs so they could not be itemized. IPERS is, in fact, paying egregiously high fees.

19. The plan employed by Sriram and Samorajski introduced synthetic exposure to stocks and bonds that are benchmarked to cash. It is easy for equity and bond futures to outperform cash which has a near zero return, but it is a surreptitious way of introducing leverage to a plan that does not have direct approval to be leveraged. This creates additional risk which is not measured and subsequently not reported to the Investment Board. No external consultant would ratify IPERS' "Active Risk – 180 Days" report to be an accurate measure of total plan risk. It is conceptually and most likely computationally inaccurate.

20. The benchmark goals for the fund were manipulated to make it appear the fund is doing better than it truly is. The benchmark is designed to be just below the returns that are reported. A huge swath of the portfolio is benchmarked directly to itself so it is impossible to underperform. If IPERS' private equity, real estate, direct lending, opportunistic credit and real assets all went to zero, the plan would not underperform its benchmark. The benchmark return is exactly whatever IPERS' asset classes return.

21. The surreptitious use of easy-to-beat benchmarks is at best a form of engineered outperformance and, at worst, rank intentional misrepresentation.

22. Wiggins regularly raised concerns to Sriram about IPERs investment and bookkeeping practices who consistently dismissed them.

23. After Wiggins was terminated, Sririam and Samorajski submitted false information to a state board and then requested money in the form of bonuses.

23A. IPERS makes its decisions regarding bonuses and other discretionary pay in closed session and Wiggins, without conducting discovery, is not able to state the precise amounts requested or paid to Sririam and Samorajski.

24. On February 2, 2023, Wiggins was terminated. The reason given was that he was a “bad fit.”

25. After Wiggins was terminated, IPERS did not replace him so currently there is no Investment Risk and Operations Officer. In effect, Sriram acts as the Risk Officer which is contrary to best practices.

COUNT 1 – FALSE CLAIMS ACT

26. Wiggins repleads and realleges Paragraphs 1 through 25 as if fully set forth herein.

27. By using inaccurate risk metrics and manipulating the benchmarking process to request bonuses, IPERS leadership submitted false claims for compensation to the IPERS board after Wiggins was terminated.

28. By attempting to get IPERS to accurately report their risk, fees and management expenses and investment performance to the Board and the public, Wiggins was attempting to stop a violation of Iowa Code Chapter 685 – False Claims Act.

29. Defendant retaliated against Wiggins because of this protected activity by terminating his employment.

30. Defendant can offer no lawful reason for the treatment of Wiggins and any proffered reason is pretext for illegal retaliation.

31. Plaintiff’s termination violated Iowa Code § 685.3(6) (2021).

32. As a result of his illegal termination Wiggins has in the past and will in the future suffer substantial loss of earnings, insurance benefits, retirement benefits and other employee benefits; and has suffered and will continue to suffer emotional distress and damage to his reputation.

WHEREFORE Plaintiff requests judgment against Defendant State of Iowa in such an amount as will fully and fairly compensate him for his damages, for attorney fees and costs, for interest as allowed by law, backpay, and for such other and further relief, including but not limited to front pay, any and all damages allowed by the statute and for any other relief the court deems equitable and just including injunctive and declaratory relief.

COUNT II – WRONGFUL DISCHARGE IN VIOLATION OF PUBLIC POLICY

33. Wiggins repleads and realleges Paragraphs 1 through 25 as if fully set forth herein.

34. By virtue of his position as Investment, Risk and Operations Officer, Wiggins was statutorily obligated to ensure that the IPERS funds were prudently invested and that the IPERS board was given accurate information and data about risks and returns. Iowa Code §97B.7A (2023).

35. Wiggins was terminated after repeatedly reporting to his superiors that the IPERS' pension system's reporting was riddled with errors including issues related to (1) IPERS risk reporting; (2) artificially creating alpha (excess return of an investment relative to the return of a benchmark index); and (3) the understatement of management fees and expenses.

36. Wiggins' actions in pointing out irregularities concerning risk and risk reporting was in furtherance of the clear public policy of the State of Iowa to "have a retirement system which will provide for the payment of annuities, enabling the employees to care for themselves

in retirement, and which will improve public employment withing the state, reduce excessive personnel turnover, and offer suitable attraction to the high-grade men and women to enter public service in the state.” Iowa Code §97.2(2022).

37. Wiggins’ termination violates well-established public policy of the State of Iowa as defined by statute, regulation and judicial decision, and this public policy is undermined and jeopardized under the circumstances of this case.

38. The State of Iowa terminated Wiggins for complying with and acting in furtherance of his statutory duties which was clearly established law at the time of his firing. *See, Fitzgerald v. Salsbury Chemical, Inc.*, 613 N.W.2d 275, 286 (Iowa 2000)(recognizing a claim for wrongful discharge in violation of public policy to protect employees from firing for refusing to commit an unlawful act (perjury) or performing a statutory obligation (testifying).

39. The reasons proffered for his discharge are pretextual and the State of Iowa lacks any legitimate reason to terminate his employment.

40. As a result of the actions of the State of Iowa, its agents, servants and employees, Wiggins has suffered and will continue to suffer loss of wages, benefits, job security and other emoluments of employment and has suffered and will continue to suffer mental anguish, emotional distress and damage to his reputation.

WHEREFORE, Plaintiff Rich Wiggins requests judgment against the State of Iowa, in such an amount as will fully and fairly compensate her for her injuries and damages, for interest as allowed by law, the costs of this action and for such other and further relief as the court deems just and equitable.

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